

should never recruit from the outside except at the lowest levels or for those just starting their careers? A company growing at a very rapid rate may have such need for additional people that there just isn't time to train from within for all positions. Furthermore, even the best-run company will at times need an individual with a highly specialized skill so far removed from the general activities of the company that such a specialty simply cannot be found internally. Someone with expertise in a particular subdivision of the law, insurance, or a scientific discipline well removed from the company's main line of activity would be a case in point. In addition, occasional hiring from the outside has one advantage: It can bring a new viewpoint into corporate councils, an injection of fresh ideas to challenge the accepted way as the best way.

In general, however, the company with real investment merit is the company that usually promotes from within. This is because all companies of the highest investment order (these do not necessarily have to be the biggest and best-known companies) have developed a set of policies and ways of doing things peculiar to their own needs. If these special ways are truly worthwhile, it is always difficult and frequently impossible to retrain those long accustomed to them to different ways of getting things done. The higher up in an organization the newcomer may be, the more costly the indoctrination can be. While I can quote no statistics to prove the point, it is my observation that in better-run companies a surprising number of executives brought in close to the top tend to disappear after a few years.

Of one thing the investor can be certain: A large company's need to bring in a new chief executive from the outside is a damning sign of something basically wrong with the existing management—no matter how good the surface signs may have been as indicated by the most recent earnings statement. It may well be that the new president will do